

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

DIPN 39 provides guidance for the characterisation of income from e-commerce transactions. To determine the correct tax treatment, a distinction has to be drawn on whether the income is a payment for a product or service (where the taxing rules for business income will apply), or a payment for the use of, or the right to use, copyright material (where the taxing rules for royalty will apply).

Examples of the latter are the right to make copies for distribution to the public, the right to prepare derivative programs, the right to make public performance of the program, and the right to publicly display the program.

For digital software downloadable from the Internet, the Inland Revenue Department ("IRD") takes the view that it is equivalent to shrink-wrapped software.

If the seller permits the customer to electronically download a software onto the latter's non-temporary media for a payment for his own use only, the payment is regarded as business income and not royalty.

Based on the fact patterns of this case, it is likely that members are only allowed to use the software program ShareNet but not granted the right to use the copyright which subsists in the software program (as one will not expect a layman user to have the interest and ability to prepare a derivative of a mobile app and distribute the same to the public). Based on DIPN 39, the nature of the membership fee is business income.

Answer 1(b)

The proper test for the source of business income is the operations test. The Privy Council in the *Hang Seng Bank* case provided the broad guiding principle applicable to determining the source of profits: "one looks to see what the taxpayer has done to earn his profits and where he has done it". The *HK-TVB* case, which approved the operations test in *Smidth & Co v Greenwood* [(1922) 8 TC 203], considered that the proper approach was to ascertain "what were the operations which produced the relevant profits and where those operations took place". The following factors are relevant:

<u>Activity</u>	<u>Location</u>	<u>Performed By</u>
Software development	Hong Kong	Technical team
Software maintenance	Hong Kong	Technical team
Operating ShareNet	Hong Kong	Technical team
Server hosting	Singapore	Service provider
Customer enquiry handling	Hong Kong	Customer service team
Billing and finance	Hong Kong	Finance team
IPR protection	Hong Kong	Legal team

Although ShareNet is running on a cloud computing server located outside of Hong Kong, the IRD in DIPN 39 suggests that the mere presence of a server in a particular jurisdiction without the involvement of human activities in the same jurisdiction would not generally amount to the carrying on of a business there.

For an e-commerce business, the IRD takes the view that it is generally the location of the physical business operations, rather than the location of the server alone, that determines the locality of the profits.

Based on the fact pattern, the human activities relating to the running of ShareNet are performed by a technical team based in Hong Kong. Together with the other physical operations set out above (all performed in Hong Kong), the source of the membership income is onshore and subject to Hong Kong profits tax.

Answer 1(c)

As the nature of the annual fee income is a service fee, under DIPN 21 the relevant test for the source is the operations test.

On the basis that the technical services are entirely performed by the chief technician who is an employee of A1 Technology outside of Hong Kong, under the operations test there is a basis to claim the technical service fee as offshore and not subject to Hong Kong profits tax.

Answer 1(d)

Under the double taxation arrangement between Hong Kong and mainland China, the more relevant definitions of PE in the context of this case are (1) an office [Article 5 clause 2(3)] and (2) the furnishing of service for a period or periods aggregating more than 183 days within any 12-month period [Article 5 clause 3(2)].

Although the chief technician's presence in Beijing for rendering the technical services is less than 183 days during the financial year 2019, this information is not conclusive in determining whether a PE in mainland China exists without reviewing his stay in mainland China before 1 June 2018 and after 15 September 2018.

On the other hand, since A1 Technology has a dedicated room for the rendering of the technical service by the chief technician when he visits Beijing, arguably this may constitute an office of A1 Technology, which is a fixed place of business in mainland China through which it carries on its business in mainland China.

In light of the above, A1 Technology has maintained a PE in mainland China and the business profit (i.e., the annual fee income) attributable to that PE should be subject to tax in mainland China under the double taxation arrangement between Hong Kong and mainland China [Article 7 clause 1].

In respect of the annual fee income, if the IRD accepts that this income is offshore and not subject to profits tax, the related China withholding tax paid is not incurred in the production of chargeable profits and hence disallowable as s.16(1) of the Inland Revenue Ordinance ("IRO") is not satisfied.

In addition, the issue of double taxation does not exist because the annual fee income is subject to taxation in mainland China only. Therefore, A1 Technology should not be entitled to any tax credit claim under the double taxation arrangement between Hong Kong and mainland China in respect of the China withholding tax paid.

On the other hand, if the IRD does not accept that the annual fee income is offshore and therefore subject to profits tax, being a Hong Kong tax resident A1 Technology would be entitled to claim a tax credit for the China withholding tax paid as a result of the valid mainland China PE maintained by A1 Technology.

However, under the revised DIPN 28, the China withholding tax should not be tax deductible because the IRD is taking the view that tax on profit or income is an application of the profits and not an outgoing or expense incurred in the production of chargeable profits.

Answer 2(a)

Effective for expenditure incurred after 1 April 2018, qualifying research and development ("R&D") expenditure on a qualifying R&D activity is eligible for enhanced tax deduction, i.e., the first HK\$2 million is eligible for super deduction at 300% and the remainder is deductible at 200%.

For in-house qualifying R&D activity, in order to qualify for the above super deduction the relevant R&D activity must be conducted by the taxpayer wholly in Hong Kong.

R&D activity is defined to include:

- (i) An activity in the fields of natural or applied science for the extension of knowledge;
- (ii) A systematic, investigative, or experimental activity carried on for the purposes of any feasibility study or in relation to any market, business, or management research;
- (iii) An original and planned investigation carried on with the prospect of gaining new scientific or technical knowledge and understanding; or
- (iv) The application of research findings or other knowledge to a plan or design for producing or introducing new or substantially improved materials, devices, products, processes, systems, or services before they are commercially produced or used.

What we know for sure is the R&D activity is conducted in Hong Kong; however, whether it falls into the above categories and qualifies as a "qualifying R&D activity" is a matter of fact.

Whilst the question has not provided sufficient facts to draw an indisputable conclusion, it is reasonable to argue that what the R&D coordinator is doing is merely routine system maintenance and improvement/ enhancement of the functionality of the existing software program.

Given the education background and the relatively low salary of the R&D coordinator, one may suspect whether he has the ability and responsibility to conduct R&D activity leading to new industry-related inventions or break-throughs in knowledge or technology. As such, it is arguable that the IRD may challenge whether A1 Technology has conducted any qualifying R&D activity and further challenge that the R&D expense does not qualify for the above super deduction.

Answer 2(b)

A1 Technology Limited
Profits tax computation 2018/19
Year ended 31 March 2019

	HK\$
Profit before tax	4,560,000
Add:	
Accounting depreciation	<u>200,000</u>
Assessable profits for 2018/19	4,760,000
Profits tax @16.5%	785,400
Tax credit relief	(900,000)
Net profits tax liability	0

Computation of tax credit relief under the double taxation arrangement between Hong Kong and mainland China:

	HK\$
Annual fee income from B2 Technology	6,000,000
Tax deductible expense	<u>(90,000)</u>
Profit from licensing business	5,910,000
Hong Kong profits tax @16.5% – (a)	975,150
China withholding tax paid – (b)	900,000
Tax credit limited to lower of (a) and (b)	900,000

Answer 3(a)

The Ministry of Finance and the State Administration of Taxation issued the circular Caishui [2019] No. 31 regarding the Individual Income Tax ("IIT") preferential policies for the Guangdong-Hong Kong-Macau Greater Bay Area ("GBA"), the purpose of which is to make the GBA more attractive to talents working in foreign invested and domestic enterprises.

Under the preferential policies, eligible employees can enjoy an IIT subsidy equal to the difference between IIT payment in the GBA and the salaries tax liability calculated based on the IRO.

The subsidy is also exempt from IIT.

The eligible period is 5 years from 1 January 2019 to 31 December 2023.

As Shenzhen is one of the 9 cities within the GBA, A1 Technology's employees (who are Hong Kong citizens) will be eligible for the above tax incentive if they are accepted as foreign high-end talents and talents in shortage.

Answer 3(b)

IP Holdco and Opco are incorporated in mainland China. Based on the fact pattern, they are also effectively managed and operated in mainland China.

In light of the above, both companies are tax residents of mainland China, and their operating profits should be subject to corporate income tax in mainland China currently at the rate of 25%.

IP Holdco and Opco are taxed on their worldwide income, including non-China source income. A foreign tax credit is allowed for income taxes paid in other countries. Therefore, offshore profit from overseas members, licensees, and service recipients will not result in any tax reduction to IP Holdco and Opco.

Capital gains and losses are treated in the same manner as other taxable income and losses. This will be a disadvantage to IP Holdco when it disposes of its IP assets in the future.

Tax losses are available to carry forward for 5 years only to set off against future taxable profits. This will be a disadvantage to IP Holdco if it mainly incurs various costs in earlier years with no or very little membership or license fee income.

Dividend distributed by IP Holdco and Opco to their foreign shareholders is subject to a withholding tax at the rate of 10%, though this rate can be reduced under a relevant double taxation arrangement where the conditions are fulfilled. If Leo and Lily claim that they are Hong Kong tax residents, they have to incur this withholding tax cost which does not exist before the business restructuring.

Answer 3(c)

Since IP Holdco is wholly owned by A1 Technology, they are related parties and the transaction between the two should be arm's length and in accordance with the transfer pricing rules applicable for Hong Kong and mainland China. If the parties fail to meet this requirement, the tax authority may make an adjustment to the transfer price adopted resulting in tax undercharged and further impose penalties.

The following are the relevant transfer pricing issues Leo and Lily have to consider before entering into the administrative service agreement:

- It is likely the services provided by A1 Technology are low-value added, routine, and administrative in nature. It can hardly be argued that A1 Technology has assumed significant business risk from IP Holdco in earning the income. Therefore, A1 Technology charging a service fee based on a relatively high percentage of the gross income of IP Holdco seems unjustifiable. A cost-plus method seems more appropriate.
- Transfer pricing documentation should be prepared to define the covered transaction and document the economic analysis performed, reasoning for the transfer pricing methodology chosen, the benchmarking analysis, and the final conclusion. This documentation should be updated regularly to take into account business/ market changes.
- There are specific transfer pricing information disclosure requirements to go along with the corporate income tax filing both in Hong Kong and mainland China. These disclosure requirements may highlight the extent of compliance and possibly trigger tax audit. Professional advice/ support should be sought to assist with the setting of the transfer pricing arrangement, documentation, and tax filing to ensure compliance.

Answer 4

Based on the Anti-Money Laundering and Counter-Terrorist Financing (Financial Institutions) (Amendment) Ordinance 2018, designated non-financial businesses and professionals including accountants are required to comply with the customer due diligence and records keeping requirements.

In addition, there is a requirement to conduct on-going monitoring with a view to detect unusual or suspicious transactions.

Whilst the admission of a minority shareholder is a commercial decision, the behaviour of the new shareholder and the changes he caused to the business operation should be assessed in order to determine whether the risk profile of the client has changed under the risk-based approach.

Before acceptance of Mr S as a client, the following actions may be required:

- Informing the engagement partner and discussing with him the procedures for client acceptance.
- Performing customer due diligence procedures to identify the client and verify his personal information. If he is a politically exposed person, enhanced due diligence procedures should be employed and senior management's approval should be sought.
- Assessing the service scope and capability of the firm and whether the firm has appropriate resources to deliver the work.
- Checking whether the firm has any existing engagements that may conflict with this new engagement and discussing with the engagement partner on possible solutions to resolve this conflict.

* * * END OF SECTION A * * *

SECTION B – WRITTEN QUESTIONS (Total: 50 marks)

Answer 5(a)

Stamp Duty

The Formal Agreement for Sale and Purchase ("AFS") executed by Dickson to purchase Property A was entered into after 5 November 2016 on 1 April 2017. The AFS is chargeable with Ad Valorem Duty ("AVD") at Part 1 of Scale 1 rates under Head 1(1) in the First Schedule (i.e., 15%) unless specifically exempted or otherwise provided.

AFS is chargeable with AVD at lower rates (i.e., Scale 2 rates) if it is shown to the satisfaction of the Collector that on the date of acquisition of the residential property [ss.29AJ and 29BB of the SDO]:

- (a) the purchaser is a Hong Kong permanent resident acquiring the property on his or her own behalf; and
- (b) the purchaser is not a beneficial owner of any other residential property in Hong Kong.

Having regard to the following, the AFS would be charged at Scale 2 rates under Head 1(1) in the First Schedule:

- (a) Dickson probably is a Hong Kong permanent resident at the time of purchase as he was born in Hong Kong and has been living in Hong Kong since he was born.
- (b) Dickson did not own any other property in Hong Kong at the time of acquisition of Property A and he acted on his own behalf in the acquisition of Property A.

The AVD is therefore HK\$412,500, i.e., 3.75% x HK\$11 million.

Provided that the Conveyance on Sale which was executed on 15 May 2017 was in conformity with the duly stamped AFS dated 1 April 2017, the Conveyance on Sale was chargeable with a stamp duty of HK\$100 under Head 1(1) [s.29D(2)(a) of SDO].

Answer 5(b)

Property Tax

Property Tax liability of Dickson
Year of assessment 2018/19

	HK\$
Consideration receivable (\$30,000 + \$32,000 x 8)	286,000
Less: Irrecoverable rent	(30,000)
Assessable Value	256,000
Less: Rates paid by owner (\$3,000 / 3)	(1,000)
	255,000

Less: 20% statutory deduction	(51,000)
Net Assessable Value	<u>204,000</u>

Tax Payable (15% on Net Assessable Value)	<u>30,600</u>
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Property Tax liability of Dickson
Year of assessment 2019/20

	HK\$
Consideration receivable (\$32,000 x 12)	384,000

Add: Rent recovered	<u>30,000</u>
	414,000

Less: 20% statutory deduction	(82,800)
Net Assessable Value	<u>331,200</u>

Tax Payable (15% on Net Assessable Value)	49,680
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Answer 6

To: Mrs Wong
From: xxxxxxxxxxxx
Date: xx/xx/xxxx
Subject: Eligibility for Election of Personal Assessment

This memo serves to advise on whether you are eligible to elect for personal assessment for the years of assessment 2017/18 and 2018/19, with respect to the relevant Hong Kong tax principles.

For election of personal assessment for the year of assessment 2017/18, one of the requirements is that the individual or his/ her spouse must be either ordinarily resident in Hong Kong or a temporary resident. Where an individual is married, he/ she must elect personal assessment with his/ her spouse.

By the enactment of Inland Revenue (Amendment) (No. 9) Ordinance 2018 on 23 November 2018, the law was amended to provide for an option for married persons to elect for personal assessment separately from his/ her spouse from the year of assessment 2018/19 onwards. At the same time, the law provides for married persons to make the election jointly if both of them have income assessable to tax and either one or both of them are eligible to elect for personal assessment.

The phrase "ordinarily resident in Hong Kong" is not defined in the IRO. Case law established that the words were to be construed as bearing their natural and ordinary meaning [*Levene v Inland Revenue Commissioners* [1928] AC 217; *Inland Revenue Commissioners v Lysagh* [1928] AC 234].

In *R v Barnet London Borough Council ex parte Nilish Shah* [1983] 2 AC 309, it was held that "ordinary residence" meant residence adopted voluntarily and for settled purpose.

The Shah case was regarded by the Hong Kong courts as the authority on the meaning of "ordinary residence" [see *Director of Immigration v Ng Shun-loi* [1987] HKLR 798, *Prem Singh v Director of Immigration* [2003] 1 HKLRD 550, *Vallejos and Domingo v Commissioner of Registration* [2013] 2 HKLRD 533].

A person holding a Hong Kong Identity Card does not mean that he is ordinarily resident in Hong Kong for the purpose of election for personal assessment.

A temporary resident is defined under s.41(4) of the IRO to mean an individual who stays in Hong Kong for a period or a number of periods amounting to more than 180 days during the year of assessment in respect of which the election is made or for a period or periods amounting to more than 300 days in 2 consecutive years of assessment, one of which is the year of assessment in respect of which the election is made.

You have moved to Canada with your daughter since September 2013. You seldom came back to Hong Kong thereafter and did not have a place of residence in Hong Kong. On the contrary, you have your own residence and business in Canada residing with your parents there. You have a right of abode in Canada. Applying the cases cited above, you are not ordinarily resident in Hong Kong within the meaning of s.41 of the IRO in the years of assessment 2017/18 and 2018/19.

Neither are you a temporary resident within the meaning of s.41 of the IRO. The number of days that you were present in Hong Kong during the years of assessment 2016/17 to 2018/19 in Hong Kong is minimal. Such could unlikely satisfy the days of presence specified in s.41(4) of the IRO.

On the other hand, your spouse resided and worked in Hong Kong. He did not have any right of abode in Canada. Applying the cases cited above, your spouse is ordinarily resident in Hong Kong within the meaning of s.41 of the IRO.

For the year of assessment 2017/18, you are eligible to elect personal assessment as your spouse is ordinarily resident in Hong Kong.

For the year of assessment 2018/19, you are unable to elect for personal assessment by yourself as you are neither ordinarily resident in Hong Kong nor a temporary resident. However, you may make a joint election for personal assessment with your spouse as both of you have income assessable to tax (Your spouse: salaries tax; You: property tax) and your spouse is eligible to elect for personal assessment.

Answer 7

Under s.8(1)(a) of the IRO, salaries tax shall be charged for each year of assessment in respect of a person's income arising in or derived from Hong Kong from the source of any office or employment of profit.

"Income from any office or employment" was defined in s.9(1)(a) of the IRO to include "any wages, salary, leave pay, fee, commission, bonus, gratuity, perquisite, or allowance, whether derived from the employer or others".

The Court of Final Appeal in *Fuchs v Commissioner of Inland Revenue* [2011] 14 HKCFAR 74 held that if the payment:

- (a) constitutes income "from" the taxpayer's employment, it would be chargeable to salaries tax;
- (b) was a payment "for something else" (or "for some other reason"), it would not be chargeable.

In other words, the relevant test is the purpose of the payment.

The Court also held that income chargeable under s.8(1) is not confined to income earned in the course of employment but also embraces payment, viewed as a matter of substance and not merely of form, made "in return for acting as or being an employee" or "as a reward for past services or as an inducement to enter into employment and provide future services".

On the other hand, where a payment is made in consideration of the employee agreeing to surrender or forgo his pre-existing contractual rights, such payment is not taxable.

Under the terms of employment, both the Employer and Mr Ng could terminate the contract by giving the other party 3 months' notice or payment in lieu of notice. Mr Ng terminated the employment on his own initiative by giving 3 months' notice to the Employer. The Employer paid Mr Ng's salary for the 3 months from January to March 2017 and in lieu of leave for the unconsumed leave.

The employment was terminated in accordance with what was stipulated in the contract, and the Employer paid Mr Ng what he was entitled to under the contract, including salary and payment in lieu of leave.

The Employer has not breached any employment terms on the termination of employment. On the other hand, there was no evidence to show that Mr Ng has surrendered certain pre-existing contractual rights in return for the Ex-gratia Payment. The Ex-gratia Payment was not compensation for loss of employment.

The Employer agreed to pay Mr Ng an extra sum (i.e., the Ex-gratia Payment) on receipt of his termination notice. Such sum was described as "goodwill ex-gratia". The Ex-gratia Payment is equal to six months of Mr Ng's base salary and was computed by reference to Mr Ng's years of service with the Employer.

Applying the operative test laid down in *Fuchs*, the Ex-gratia Payment was in substance derived from Mr Ng's employment with the Employer and was a payment made to Mr Ng in return for his acting as or being an employee. It was caught by the word "gratuity" in s.9(1)(a) of the IRO. Being income from employment, it is chargeable to salaries tax.

Should there be evidence to show that the Employer paid the Ex-gratia Payment to Mr Ng in order to make him "go quietly" by entering a separation agreement or to avoid any litigation from Mr Ng, then the Ex-gratia Payment can be considered payment for something else and is not taxable under salaries tax (*Commissioner of Inland Revenue v Poon Cho Ming* [2019] HKCFA 38 followed).

Answer 8

The prevailing accounting standards (HKFRS 9) require entities in Hong Kong to account for financial instruments on a fair value basis with the revaluation gains or losses reported as income or losses in the year they arise.

In *Nice Cheer Investment Limited v Commissioner of Inland Revenue* (2013) 16 HKCFAR 813, the Court of Final Appeal ruled that unrealised profits arising from the revaluation of trading securities are not assessable to profits tax.

The Court held that profits for the purpose of s.14(1) of the IRO connotes actual or realised and not potential or anticipated profits.

In view of the substantial costs and practical difficulties in re-computing profits or losses in respect of financial instruments on a realisation basis, the IRD has agreed as an interim administrative measure to accept 2013/14 to 2017/18 profits tax returns in which the assessable profits are computed on a fair value basis.

To codify this interim administrative measure, Inland Revenue (Amendment) (No. 2) Ordinance 2019 was passed on 1 March 2019 to enact the new s.18G to s.18L that apply to a year of assessment for which the basis period begins on or after 1 January 2018. The new provisions allow taxpayers to elect and align the tax treatments of financial instruments for profits tax purposes with their accounting treatment.

On the authority of *Nice Cheer*, the revaluation gains for the years of assessment 2017/18 and 2018/19 are not chargeable to profits tax as the gains were not actual or realised profits.

For the year of assessment 2017/18 where the basis period of ABC Co ended on 31 December 2017, prior to the enactment of s.18G to s.18L, ABC Co can follow the administrative measures provided by the IRD by not adjusting the accounting profits to exclude the revaluation gains from assessment. Should ABC Co subsequently want to adopt the realisation basis, it can request a re-computation of the assessable profits. Yet, the re-computation must be made within the time limits laid down in s.60 and s.70A of the IRO.

For the year of assessment 2018/19, as the basis period of ABC Co in this year of assessment commenced on or after 1 January 2018, provisions under s.18G to s.18L are applicable. ABC Co may make an election under s.18H(2) for the year of assessment and all subsequent years of assessment to align the treatment of financial instruments for profits tax purpose with their accounting treatment. The election once made is irrevocable save for that specified in s.18H(4) and (5). Otherwise, the gains will be assessed in the year of assessment in which it is realised.

* * * **END OF EXAMINATION PAPER** * * *